This chapter covers index, measurement of inflation, weighted index numbers, types of inflation, impact of inflation, measures to control inflation and related terms.

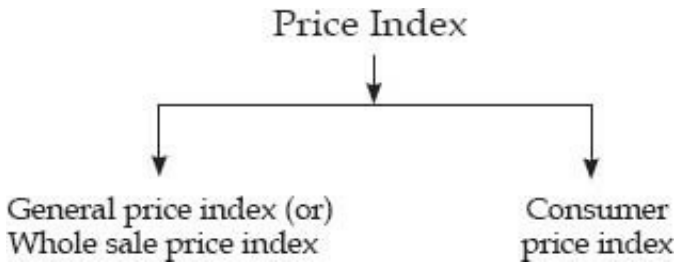
Index

An index number may be described as a specialised average designed to measure the relative change in the level of a phenomenon from time to time. S.P. Gupta observes ''An index number is a specialised average designed to measure the change in a group of related variable over a period of time''.[1]

Price Index

Price index is a specialised average that measures the changes in prices over a period of time. The price indices are of two types as shown in the figure 10.1.

Figure 10.1



General Price Index (GPI)

General Price Index measures the changes in average prices of goods and services. A base year is selected and its index is assumed as 100 and on this basis, price index for further period is calculated.